

Let's Learn Long Term Investing - Session 2

Sharique Samsudheen

8 Steps to Build Your Own Stock Portfolio

1. Start with a Clear Goal
2. Define Your Benchmark
3. Decide Diversification Strategy (Sectors + Number of Stocks)
4. Choose Market-Cap Allocation (Aligned to Goals & Benchmark)

5. Pick Best Stocks

6. Risk Management Rules
7. Timely Review and Rebalance
8. Discipline

Akhil, Rahul, Ajay, Gautham

Who will you make captain of your cricket team? Has to be the best batter also

How will you decide? What will you look into?

Qualitative Factors

1. Conduct
2. Leadership Skills
3. Communication Skills
4. Strategic Thinking
5. Respect & Credibility
6. Emotional Intelligence

Quantitative Factors

1. Number of matches won
2. Win percentage
3. Total runs scores
4. Batting average
5. Strike rate
6. 100s/50s

This is exactly what you have to do with
Companies/Stocks also

Qualitative and Quantitative Analysis of
Management, Business and Valuation
aka Fundamental Analysis

Management - Qualitative Study

- Who is running the company?
- Their track record, integrity, vision, capital allocation skills.
- Corporate governance, transparency, and shareholder alignment.

Business - Qualitative & Quantitative Study

- Industry positioning, competitive advantage (moat), scalability, risk factors.
- Market share, revenue mix, growth drivers.
- Unit economics, margins, cost structures.

Valuation - Quantitative Study

- Price relative to earnings, cash flows, book value, or future growth.
- Ratios: P/E, P/B, EV/EBITDA, DCF models.

Fundamental Analysis

Fundamental analysis is the process of evaluating a company's true worth by studying both qualitative factors, such as management quality, business model, and competitive advantages, and quantitative factors, such as financial performance, growth prospects, and valuation metrics, to decide whether its stock is fairly priced.

Tools Needed

1. Company Annual Reports

- a. Most authentic source for management commentary, risks, and audited financials.

2. Screener or Tickertape

- a. Quick access to financial data, ratios, and peer comparisons.

3. Brokerage/Analyst Reports

- a. Sector outlooks and professional insights that save research time.

4. News and Media Platforms

- a. Review past interviews & reports on the company & promoters to judge credibility

5. Excel/Google Sheet

- a. Build your own valuation models and track numbers for conviction.

6. AI Tools

Skills Needed

Reading Annual Reports: Learn to extract insights from MD&A, auditor notes, and governance disclosures.

Accounting & Financial Statements: Understand P&L, Balance Sheet, and Cash Flow, and how they connect.

Financial Ratios & Metrics: Use profitability, growth, leverage, and valuation ratios to judge performance.

Industry & Business Analysis: Study business models, moats, and sector dynamics using peer and industry data.

Valuation Techniques: Apply relative (P/E, P/B) and absolute (DCF) methods with a margin of safety mindset.

Judging Management: Assess credibility through promoter holding, governance track record, and past consistency.

Studying Management

Annual Reports

- Read the *Management Discussion & Analysis (MD&A)* section → see how management explains performance and strategy.
- Look for consistency between promises and delivery over past years.
- Study notes on governance, auditor's comments, and related-party transactions.

News & Media

- Go through past interviews of promoters/CEOs → check if their statements align with later actions.
- Look for controversies, fraud allegations, regulatory penalties, or disputes.
- Media history helps you judge credibility and integrity over time.

Screeners / Ticker tape

- Check promoter shareholding trends → is it stable, increasing, or pledged heavily?
- High pledging of shares is often a red flag.
- Look at insider trades (buying/selling by management).

Studying Business

Annual Reports

- Understand the revenue model: where does money come from? (products, services, geographies).
- Identify risks listed by the company itself (competition, regulation, raw material costs).
- Check how management explains opportunities and industry trends.

Screeners / Tickertape

- Look at 5–10 year data: sales growth, profit growth, operating margins, ROE, debt ratios.
- See how cyclical or stable the business is.
- Compare numbers with peers in the same industry.

Brokerage / Analyst Reports

- Use reports to understand industry dynamics: market size, competitors, demand drivers.
- Learn about sector tailwinds (govt. policies, consumer trends, technology shifts).
- Check SWOT analysis often included in these reports.

Studying Valuation

Screeners / Tickertape

- Track valuation ratios: P/E, P/B, EV/EBITDA, Dividend Yield.
- Compare current valuations with the company's historical averages.
- Benchmark against peers - is the stock cheaper or costlier, and is that justified?

Brokerage Reports

- Check target prices and earnings estimates from multiple analysts.
- Note why analysts think the stock is undervalued/overvalued.
- Don't rely blindly, but use it as reference for market expectations.

Excel/Sheets

- Build a basic **Discounted Cash Flow (DCF)** to estimate intrinsic value.

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പ്ലാൻ ചെയ്യുന്നുണ്ടോ?
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എങ്ങനെ കണ്ടെത്താം??
FUNDAMENTAL
vs
TECHNICAL
ANALYSIS
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IMPORTANT DATA
എവിടുന്ന് കിട്ടും?
ANNUAL REPORT
FUNDAMENTAL
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LECTURE28:51

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ANNUAL REPORT
V-GUARD
FUNDAMENTAL
ANALYSIS
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PROFIT & LOSS
STATEMENT
V-GUARD
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മുഴുവൻ പരിചയം
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Note Please:

If your CAGR target is below 20%, you need not pick stocks yourself

Learn to pick good mutual funds and invest into them

The expert fund manager in the mutual fund house will pick amazing stocks and your money will be invested in them

If your CAGR target is above 20%, you need to pick stocks yourself

Learn to pick good stocks and invest into them

You will have to become an expert in researching and analysing stocks and manage your own portfolio